And finally, since capital has spread across borders, any sudden future retrenchment could not only inflict pain on recipient countries but also generate foreign political pressure seeking to impede the free flow of capital.

Let me conclude. The last few years have been, in many ways, the best of times for the world economy. The financial sector has contributed immensely. However, the current conjuncture has led to some practices that deserve examination. In particular, I worry whether compensation structures give too much incentive to take risk and, relatedly, whether pay is sufficiently linked to performance. While claims are made that the financial sector is becoming more and more efficient, and that it is adding more and more value, the amount of true value added by the sector is hard to observe. With high pay, questionable practices, and hard-to-observe value addition, the financial sector is politically vulnerable. In a downturn, even if there are no systemic risks in the financial system – for instance, if all the losses are run by stable passive holders of assets such as pension funds – the political system may react in a way that has systemic consequences. To avoid the risk of possibly excessive political reaction, it is important that the issues that I have just alluded to be discussed by the financial sector itself, and where necessary, and possible, adjustments made. It would be a shame if sparks from the red-hot financial sector set off a conflagration that destroyed the very real gains finance has made in the last few decades. Indeed, history suggests abundant caution.